

DAY2 FinOps : Approach

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1. What?

'Help us replace CloudHealth with DAY2' - a feedback that we have received from multiple customers. This provides us two specific insights,

- Our cost module isn't as great as CloudHealth (*Obviously! CloudHealth is an industry leading product, solely focused on FinOps, matured over 2 decades, with ~\$8 billion under management*).
- Customers see that **THEY CAN** replace their 'CloudHealth Use cases' with DAY2.

📌 **The goal is not CloudHealth parity. What we want** is to start by offering a benchmarked FinOps Module with features that solves majority of the Customer's FinOps use-cases and drives platform adoption.

Then, integrate DAY2 specific features like Knowledge Graph, MCP Hub and Automation at top of our FinOps Module to provide a **differentiated FinOps** experience that is enriched with our customer's business context.

Assessments, SHIP, Migration, etc remain the primary module for customer acquisition, and FinOps becomes the module that drives usage depth & integration of DAY2 in customer's day-to-day workflows.

Example, AWS and modern FinOps platforms provide anomaly monitoring with Root Cause Analysis, but the insights they surface are purely technical.

Even with AI integration, these RCAs stop at the infrastructure layer and offer no business context around why an anomaly occurred or what it means for the teams involved.

AWS & most FinOps Tool's RCA - The anomaly happened because a m5.4xlarge EC2 instance got deployed in account number - 0789. [No Next Steps]

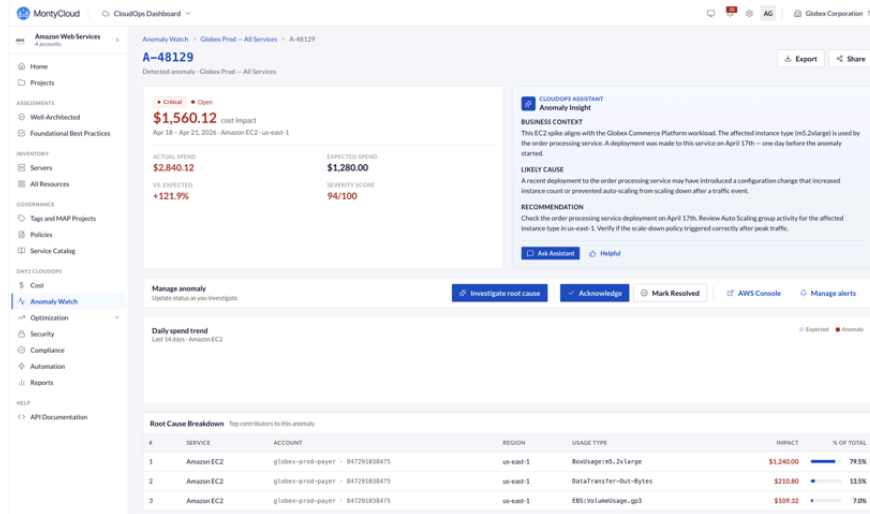
DAY2 builds on top of AWS anomaly detection and goes further. By integrating with DAY2's Knowledge Graph, which carries MSP and tenant-specific context, and connecting to tools like Jira or Notion via MCP servers, DAY2 enriches every RCA with the business context that matters.

DAY2 RCA: The cost anomaly was triggered by user Joe@example.com, from the Engineering department, who deployed a m5.4xlarge EC2 instance in the dev account on April 17th for ongoing feature testing (source Jira Ticket exxample-451).

DAY2 also surfaces contextual Next Steps that guide users through remediation — pointing them to the exact features within DAY2, alongside AWS, to investigate, act, and close out each anomaly efficiently.

Recommended Next Steps: Review the instance's utilization under the Monitoring tab in DAY2. If CPU utilization is below threshold, rightsize the instance to align cost with actual usage.

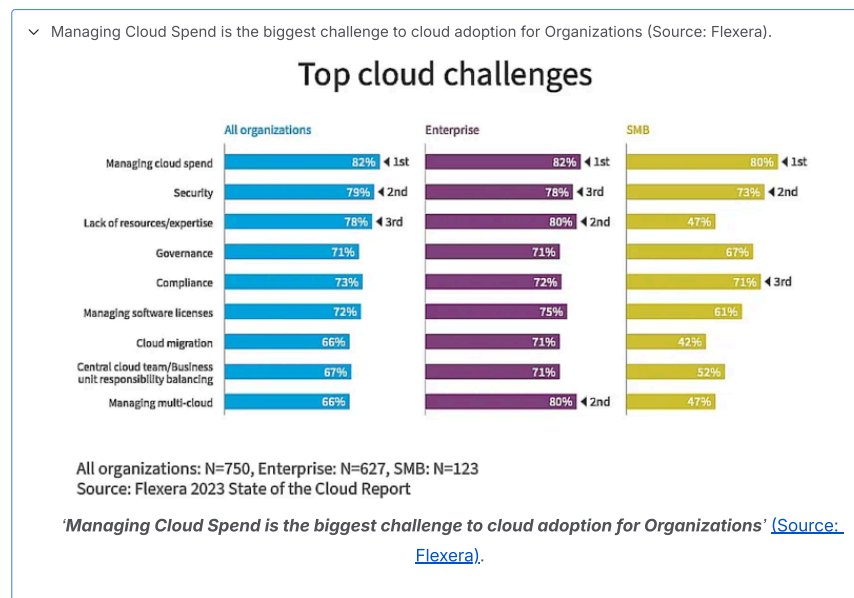
The result is an analysis that is specific, relevant, and immediately actionable for the people who need to act on it.



An example of Anomaly RCA view.

2. Why?

In addition to direct customer feedback, rising cloud spend is a consistent concern across industry events, community forums, and conferences like re Invent.



Organizations increasingly want a **single platform to manage their cloud**, and cost management needs overlap with DAY2 operations.

Mature FinOps functionalities can drive platform adoption and stickiness by becoming part of customer's daily workflows.

3. Challenges and Silver Linings

Key challenges

- **Integration gaps:** DAY2 already has the data and features on par with mature FinOps tools, but they are not well integrated. For example, reporting & scheduling exists but is not effectively connected to the Cost module (Spend Breakdown), limiting its impact. Same can be said for Inventory and Automation.
- **Stalled evolution:** While visualization for cost and optimization opportunities exists, limited iteration in the Cost module has prevented it from evolving to meet current business needs of our customers.
- **Adoption cycle:** Low traction in the Cost module has reduced its prioritization, which in turn slows improvements, reinforcing a negative feedback loop.

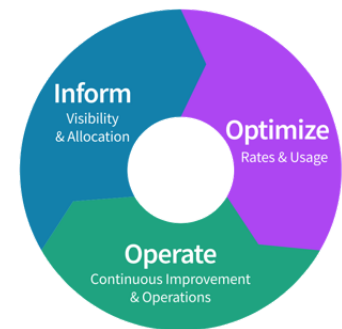
Silver linings and opportunity

- **Superior foundation:** Capabilities that many FinOps tools label as ‘advanced’, such as automation, metrics monitoring, MCP hub and governance, are already part of DAY2’s core platform features.
- **Competitive upside:** By strengthening the core FinOps capabilities, DAY2 can leapfrog several FinOps tools that stop at visibility and reporting.
- **Growing market tailwind:** FinOps adoption is accelerating as organizations prioritize cloud ROI. By strengthening FinOps capabilities in DAY2, we enable our customers to have a **single platform to manage their cloud**.

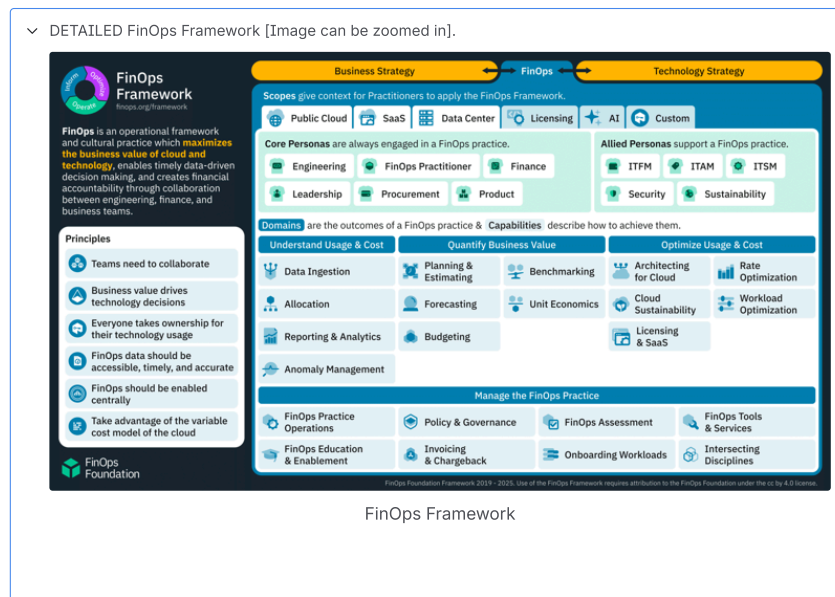
4. Approach: Inform → Optimize → Operate

Just as DAY2 aligns with AWS and Azure to deliver cloud capabilities, it makes sense to align with the FinOps Foundation to evolve our Cost module incrementally into a FinOps Control Pane.

The FinOps Foundation’s standards and guidelines are widely adopted and inform how major cloud providers such as AWS, Azure, GCP, and OCI design their cost and billing capabilities.



3 Phases of FinOps Framework



The FinOps Framework organizes cloud financial management into *three progressive phases*.

Each phase builds on the previous one, allowing organizations (either building or utilizing FinOps tools) to start simple and **mature over time without rework**.

(A) Inform → Create cost Visibility and Reporting

✓ Know More about this Phase and related Features

The Inform phase focuses on making cloud spend transparent and attributable.

Its **goal is to clearly answer**

what is being spent,

where it is being spent, and

who owns that spend,

and to deliver these insights through consistent, reliable views & messages; that leaders can use to make informed decisions.

Features in this phase:

- Cost dashboard for visibility
- Timely and filtered reporting for different teams like leadership, finance, security, testing, etc.
- Cost and usage reports with trends and drilldowns
- Savings Plans and Reserved Instance tracking
- Commitment coverage and utilization dashboards
- Cost allocation using tags, accounts, and services
- Showback and chargeback views by team or application

(B) Optimize → Turn insight into savings

✓ Know More about this Phase and related Features

Once costs are visible and owned, the Optimize phase helps teams **reduce waste and improve efficiency**.

The focus shifts from understanding spend to actively lowering it through guided actions.

Representative features in this phase:

- Rightsizing and waste identification recommendations
- Idle resource and unused capacity detection
- Savings opportunity prioritization and tracking
- Unit Economics
- Architectural level savings (Storage Tiering, Network Traffic Routing, etc).
- + Reporting of the above insights.

(C) Operate → Enforce control and sustain results

✓ Know More about this Phase and related Features

The Operate phase embeds FinOps into daily operations.

It ensures that gains from optimization are **maintained through guardrails, automation, and governance**, even as scale and usage

grow.

Representative features in this phase:

- Budgets with alerts and thresholds
- Spend anomaly detection and triage
- Policy-based guardrails for cost controls
- Forecasting and variance monitoring
- Scheduling Workload
- Operational workflows for ongoing FinOps reviews

5. Evaluating some Popular FinOps Tools

Established FinOps products such as **nOps**, **FINOUT**, **CloudHealth**, **CloudZero**, **Vantage**, etc typically package value along the same FinOps Framework Phases.

[Inform phase] Visibility and Reporting capabilities are the most mature and feature-rich across FinOps tools.

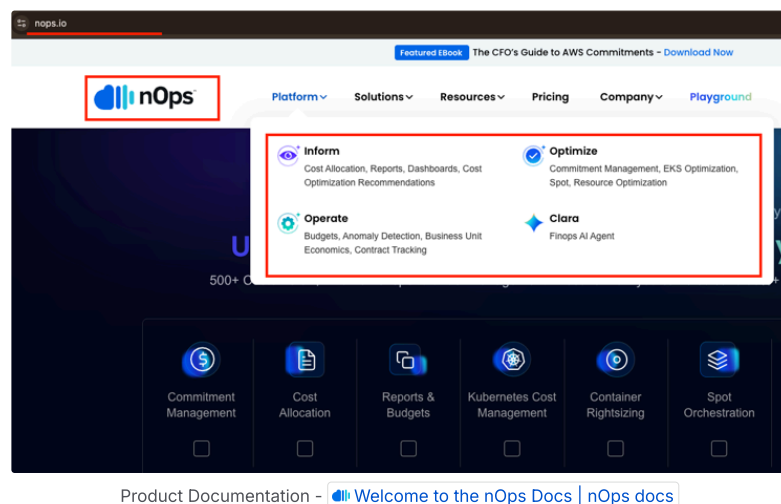
Based on industry observation and hands-on experience, these features drive the majority of day-to-day usage.

Most platforms offer similar core capabilities in this area, with limited differentiation. Where they do differ is in ease of use, export quality, low operational complexity, and how easily they integrate into existing workflows.

IMPORTANT - Market Evaluation.

▼ NOPS [Important]

NOPS has broken down it's FinOps Offering following the standards of FinOps Framework very strictly [Inform→Optimize→Operate]. + A dash of their AI Assistant Clara.



Products



Inform

Cost analysis, reports & dashboards, cost allocation, cost recommendations & other visibility features.



Operate

Forecasting, anomaly detection, budgets & targets, chargebacks, business unit economics, contract tracker & other finance operation features.



Optimize

Commitment optimization, storage optimization, EKS optimization, resource scheduling & other automated optimizations.

TOP 10 Popular NOPS features. Notice how Visualization and Reporting are at the top and most common. (Something common across all FinOps Tools)



FINOUT

FINOUT Following the EXACT FinOps phases for it's Product Feature Development & Segregation.

USER GUIDE

Inform

- MegaBill
- Custom Drilldown
- Custom Cost Input
- Virtual Tags
- Shared Cost Reallocation
- FinOps Dashboards
- Financial Plans**
- Data Explorer

Optimize

- My Commitments
- Commitments Log
- Anomalies
- CostGuard
- Finout Scans
- Cloud Native Scans
- Connect CostGuard for AWS
- Connect CostGuard for GCP

Operate

- Reports
- Tag Governance

USER GUIDE

Inform

Finout's Inform features provide powerful tools for gaining insights into cloud resource and cost optimization. By leveraging detailed metrics and customizable reports, Info teams understand their cloud infrastructure more clearly. With advanced visualization capabilities, users can easily track spending, identify inefficiencies, and make data-driven decisions to optimize costs and resource allocation. Whether it's forecasting future expenses or identifying waste in unused resources, Inform delivers actionable intelligence to improve financial planning and cloud operations.

Includes the following features:

- MegaBill
- Custom Drilldown
- Custom Cost Input
- Virtual Tags
- Shared Cost Reallocation
- FinOps Dashboards
- Financial Plans
- Data Explorer

Previous: Troubleshooting | Next: MegaBill

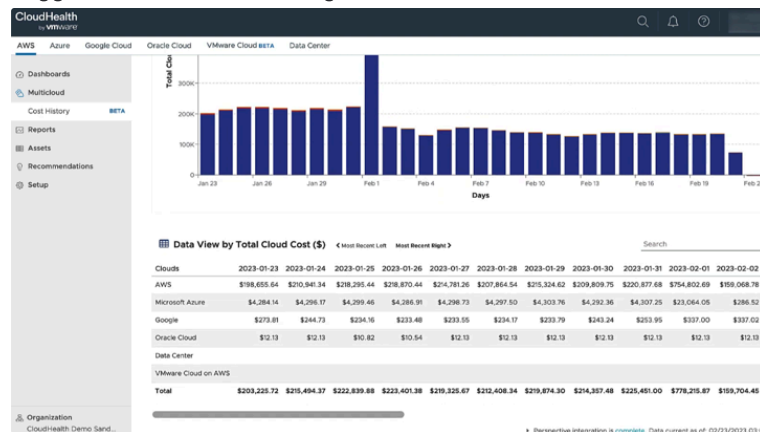
Last updated 5 months ago

CloudHealth [Detailed]

CloudHealth being a Legacy FinOps Tool (Predating FinOps Foundation by almost 7 Years) also offers its features along the same lines.

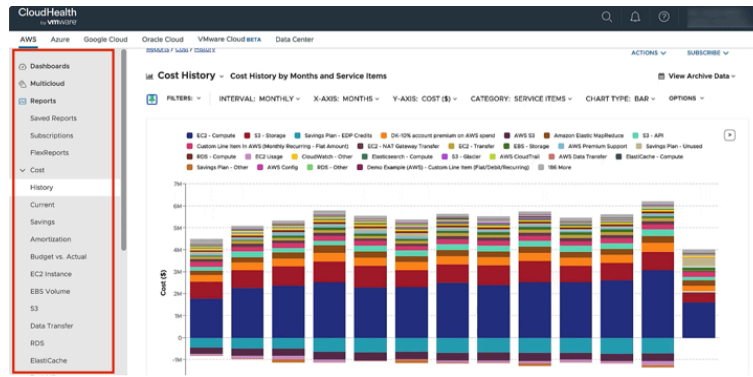
A lot of CloudHealth's 'Advance' features are already present in DAY2's cost/Optimization, Inventory, Automation and Governance Module.

- For MultiCloud Cost, cloudHealth simply shows cost by month and Cloud provider (can be done through Apps in Day2). But I also suggest to have this in Management view.



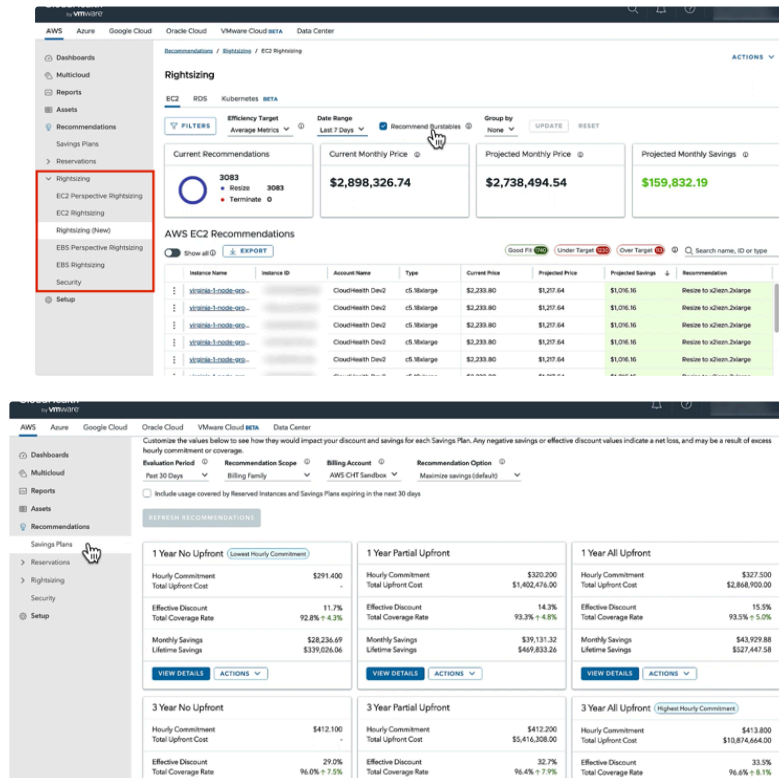
MultiCloud Cost View

- REPORTS - the most Feature Rich Module of Cloud Health. This covers the entirety of the 'Inform' Phase. (Opinion) **This module is a key differentiator for CloudHealth.** The ease of using a centralized bar chart, applying filters, and converting views into scheduled reports makes it highly effective for day-to-day cost visibility and monitoring.

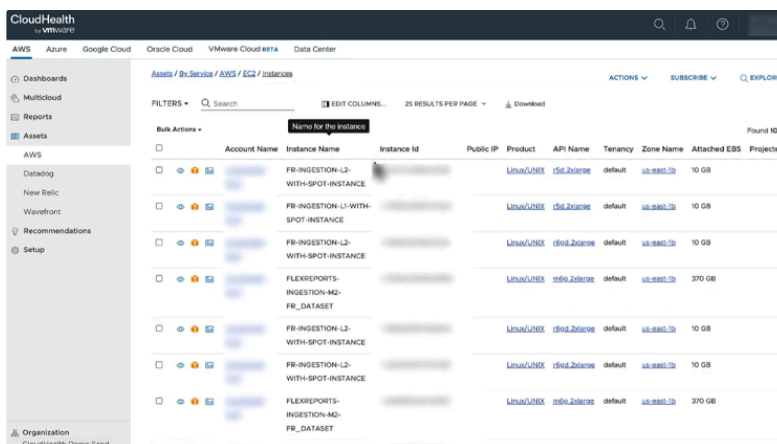
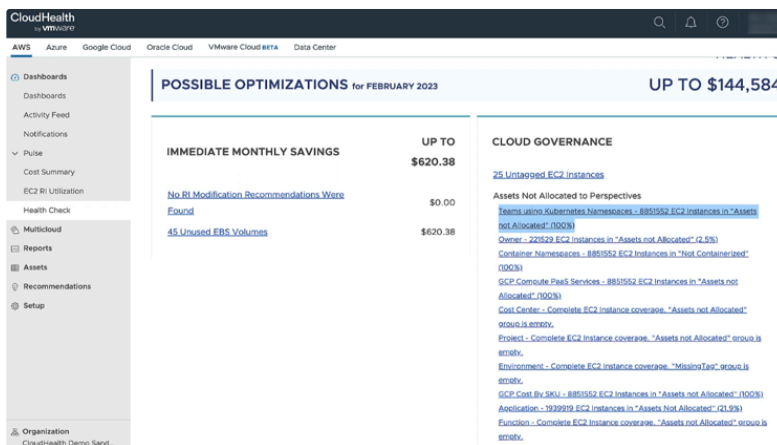
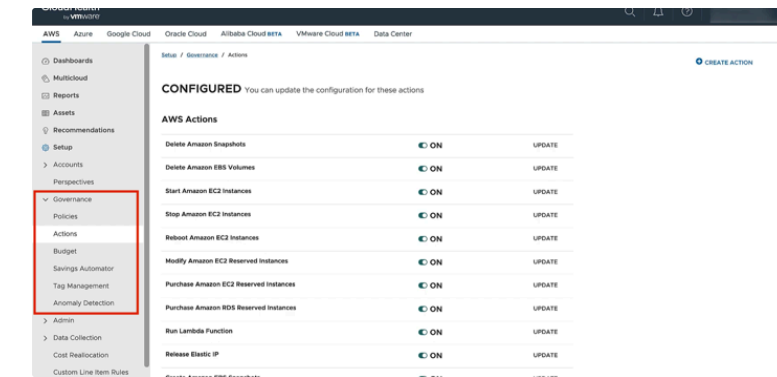


In practice, most organizations rely primarily on cost reports that they review weekly or biweekly, while budgets and anomaly detection are far less consistently adopted.

3. The Rightsizing/Savings Recommendations are usually in the line with the Native-Cloud recommendations (AWS COH & Azure Advisor). Here you have an additional option to come up with your own metrics to generate recommendation, a use case that can be solved through MCP foundry in DAY2.



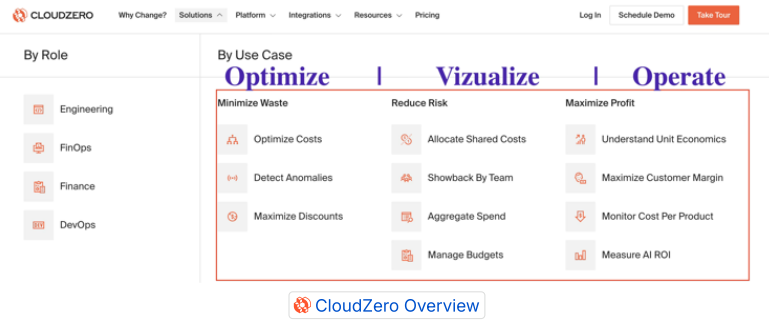
4. Apart from Budget & Anomaly (which we do not need at this point) DAY2 already supports the other Cloudhealth's governance, Assests & health feature in some form.



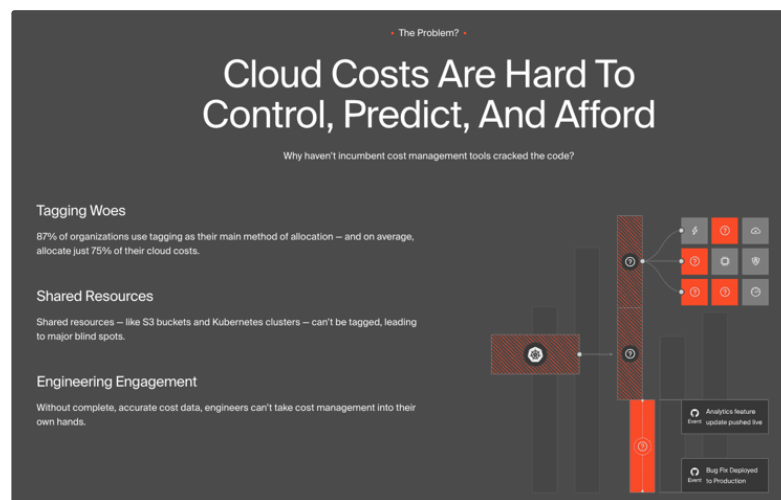
5. Conclusion: The Reports Module (Visibility & reporting - Inform Phase) remains the USP for cloudhealth.

CloudZero

CloudZero has unique way of framing the Inform→Optimize→Operate module. But

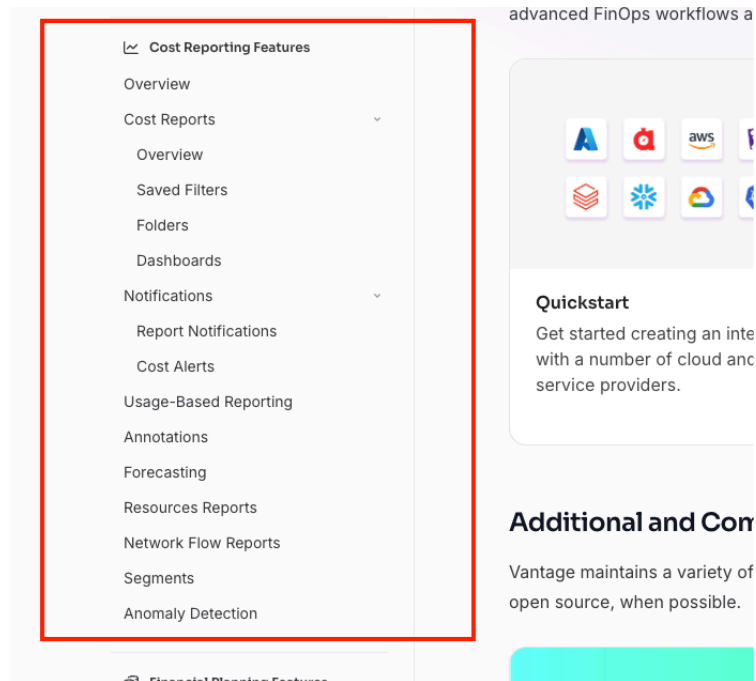
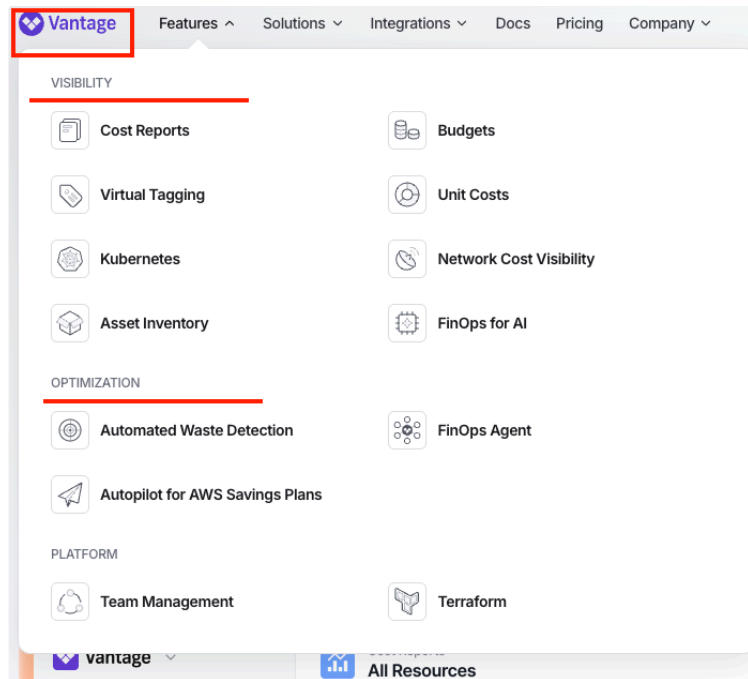


Their Primary Focus is on Cost Allocation & Centralized Multi-cloud View. Their Differentiator is cost allocation of 'Shared and untagged resources'. But if we step back from the 'tool's unique feature' the core remains the same - Visualize→Optimize→Operate [with more focus on Visualization & Reporting]



✓ Vantage [MSP Focused + Clean Design]

1. FinOps Framework Phases as Product's Feature Distinguisher and focus on Visibility.



2. They do have a dedicated MSP page - not much info here though.

The Challenge and Our Solution

Managing cloud costs for multiple clients requires scalability, customization, and transparent reporting. Vantage provides MSPs with the automation and visibility needed to succeed.

▲ YOUR CHALLENGE

Complex multi-client cost management

MSPs struggle with managing cloud costs across dozens or hundreds of clients using multiple tools and spreadsheets. Manual reporting, inconsistent tagging, and lack of automation create operational overhead and reduce profitability.

✦ HOW VANTAGE HELPS

Automated multi-provider cost optimization

Vantage enables MSPs to automate cost monitoring, create standardized reporting workflows, generate invoices, and provide clients with transparent cost insights — all from a single platform that scales with your business.

3.

 [MSP FinOps Software | Vantage](#)

6. FinOps Benchmark Matrix

We have identified 15 features, spanning improvements to existing capabilities and new additions, that together position DAY2's FinOps module to address the full spectrum of use cases, from the most common to advanced.

1.  [Visualize](#)
2.  [Optimize](#)
3.  [Operate](#)